Tesla, Inc.

TSLA NASDAQ

Hold	$359.99 ▼ 1.95%	12M Price Target	52-Week Range	Market Cap
		$395.00	$297.38 – $498.83	$1.42T

TSLA: Five-Day Slide as EV Credit Loss Bites

WHAT HAPPENED

- TSLA dropped another ~2% today and is now down ~6% over five sessions on zero fresh news — that's a classic "distribution" pattern, meaning big holders are quietly trimming into a weak tape rather than reacting to a single headline.
- The weakness is especially telling because the broader market was GREEN today (Healthcare +2.5%, Consumer Disc +1.3%) — so TSLA isn't getting dragged down by macro, it's being singled out.

WHY IT MATTERS

Here's what the tape is telling you: TSLA is bleeding while its own sector (Consumer Discretionary) rallies — that's name-specific weakness, not market weakness. The most likely culprit is the aftermath of the federal $7,500 EV tax credit expiring (killed under the current administration's rollback of Biden-era IRA provisions) — Q3 deliveries got a sugar-high pull-forward, and now the market is pricing in the Q4 hangover. The options flow is interesting though: unusual call buying at $360 and $357.5 strikes suggests somebody's betting on a bounce near these levels, so this could be where buyers step in. But don't confuse "pause" with "reversal" — until we get a catalyst (Q3 earnings coming later this month, Robotaxi update, or a policy shift), the path of least resistance is sideways-to-down.

POLICY & POLITICAL WATCH

The big overhang: the federal EV tax credit is gone, and the administration has been openly hostile to EV mandates — California's waiver to set its own emissions rules is being challenged, which if struck down removes a major structural tailwind for TSLA. On the other side, Musk's political positioning has arguably helped on autonomy — federal preemption of state-by-state self-driving rules is being floated, which would be HUGE for Robotaxi scaling (one national rulebook vs. 50 different ones). Also watch tariff policy: TSLA builds in the US but sources batteries and components from China — any escalation on Chinese battery materials directly compresses margins.

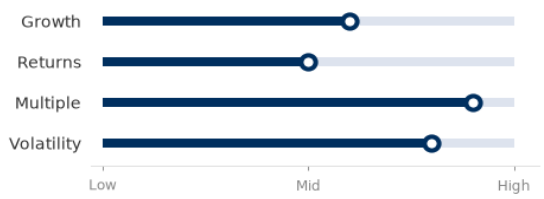
IS IT EXPENSIVE?

TSLA trades at roughly 167x forward earnings — meaning investors are paying $167 for every $1 of profit the company is expected to make next year. For context, Toyota trades around 10x and even Nvidia is around 35x. That's not an auto valuation — that's a bet that Robotaxi and Optimus (the humanoid robot) become real businesses. If you don't believe those materialize on Musk's timeline, the stock is objectively expensive; if you do, it's cheap.

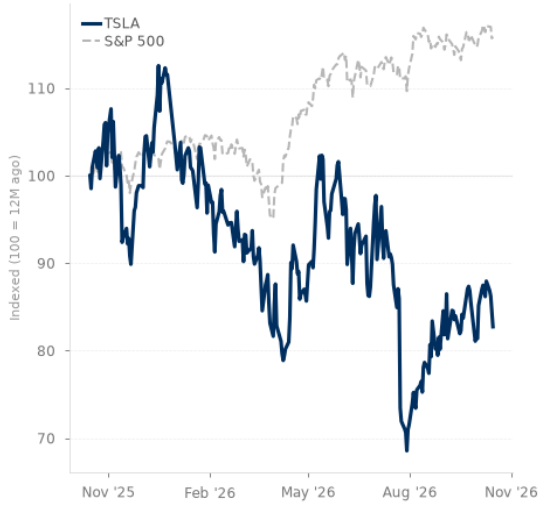
WHAT COULD GO WRONG

Key Data	
Price (USD)	$359.99
12M Price Target	$395.00
Upside / (Downside)	+9.7%
Market Cap	$1.42T
FY2026E Revenue	$112M
FY2027E Revenue	$135M
FY2026E EPS	$2.15
FY2027E EPS	$3.10
Fwd P/E	167.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

TSLA — Tesla, Inc. | October 15, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$395.00**	$365.00	**$325.00**
6 Months	**$460.00**	$390.00	**$300.00**
1 Year	**$525.00**	$395.00	**$275.00**
2 Years	**$650.00**	$450.00	**$240.00**
5 Years	**$900.00**	$550.00	**$200.00**
10 Years	**$1500.00**	$700.00	**$180.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+6% in 5 days) is ripping — likely a defensive rotation plus some Medicare/drug pricing clarity. Consumer Staples strength (+4.4% in 5 days) confirms investors are getting defensive.

COOLING OFF: High-beta growth and anything tied to the EV subsidy regime. TSLA's weakness while Consumer Disc rallies tells you money is flowing to Amazon/Home Depot types, not Tesla.

ROTATION WATCH: Classic risk-off tilt — money moving from speculative growth into defensives and quality. That's a headwind for TSLA's multiple until sentiment flips back to risk-on.

RELATED PLAY: If you want autonomy exposure without single-stock risk, think about the supply chain — NVDA (chips for self-driving), MBLY (Mobileye), or even LIDAR names. If Robotaxi works, the picks-and-shovels players win too.

WHO'S WINNING IN THIS SPACE?

- LLY (Eli Lilly): Healthcare is the hot money today — GLP-1 franchise plus defensive characteristics.
- AMZN (Amazon): Consumer Disc leader that's taking the "quality growth" dollars that used to flow to TSLA.

TSLA CONTEXT: TSLA is badly lagging its own sector right now (Consumer Disc +1.3% today, TSLA -2%) — that's a yellow flag. When a megacap underperforms its sector during a sector rally, it usually means institutions are rotating out. Doesn't mean "sell," but it means don't catch the knife either.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I'm neutral here; the long-term story is intact but near-term setup is unfavorable with no catalyst until earnings.

POSITION SIZE: 2-4% max. This stock can drop 20% in a week on a single Musk tweet or FSD headline — size it so you can sleep.

ENTRY POINTS: I'd wait for $320-340, which is closer to the 52-week low ($297) and represents a real margin of safety. Buying here at $360 after a 5-day slide is catching a falling knife.

TIME HORIZON: 18-36 months — you need to give the Robotaxi/Optimus thesis time to prove out. Shorter than that and you're just trading sentiment.

WHEN TO BAIL: If Q3 auto gross margins come in below 15%, OR if the Robotaxi rollout gets pushed past 2027, the thesis is broken and I'd cut it.

HEDGING: Simplest hedge — buy a put option 10% out of the money going into earnings. Costs you a small premium but caps your downside if the quarter is ugly. Think of it as insurance on your TSLA position.

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.